Microeconomic Analysis of the Textile Industry in India

With Strategic Firm-Level Assessment: Trent Limited

MBA TECH (Data Science)

Our Rationale for Choosing Trent Ltd.

Trent, a flagship of the Tata Group, is a publicly listed, expansion focused company with diversified operations (operates brands like Zudio, & Westside). It is our view that focusing on a business which "targets" broad sections of the market, better serves our larger intention to understand India's textile landscape, with a micro-economical lens. We note the importance of other key legacy enterprises like Raymond but ruminate on Trent for the reasons listed before.

Aditya Mishra, S046
Meet Jain, S024
Soham Sahay, S063
Laith Shaikh, S068
Aditya Tajane, S074

“The spinning-wheel represents to me the freedom of India. I see in it the symbol of economic and political freedom.”

— Mahatma Gandhi, Young India Magazine, 1921

1. Industry Overview & Market Dynamics

The textile industry of India is a growing and dynamic sector. It derives its values from age old traditions, and new age technologies, striking an innate symphony which reverberates through the entire economy. The textile industry, after agriculture, has generated the most employment. This industry is the second largest employer of work force. It offers direct employment to over 45 million people, and indirect employment for around 100 million people, largely, women in rural areas. In 2023, India was the 6th largest exporter of textile & apparel in the world. According to the annual report (2024-2025) published by the Ministry of Textiles, the share of this industry (including handicrafts) stood at 8.21% in 2023-2024. The same report notes that India has a share of 3.9% of the global textiles and apparel. Major textile and apparel export destinations for India, are the USA, and the EU, with around 47% share in total textile and apparel exports. This industry benefits directly from government initiatives like Make in India, Skill India, Women Empowerment, and Rural Youth Employment. T&A exports in FY 23-24 stood at USD 34.8B. The textile sector is projected to reach a market size of approximately USD 350B by 2030.

India's textile sector is broadly disorganised, owing to huge populations in the rural areas. Though disorganised, this sector does not lack structure. Several old name and new age brands have aimed at "capturing" significant market share, and have been successful in doing so. Old age brands like Raymond (estd. 1925), and new age brands like Day & Age (estd. 2023) have settled in their respective "goldilocks zones". It would not be outlandish to note that the sector, rather than total domination, thrives on niche captures. A model of, "something for all". This model discourages monopolistic tendencies, and hence, reduce barriers of entry.

Perhaps the greatest challenge in the brand sphere of this industry is product differentiation. It is our view, that after a while everything starts to appear the same. Hence, the broad moat of this industry, in our view, is not supply chain development, but is brand identity development.

The sector is filled with brands of various sizes, from micro scale student projects, to enterprise grade solutions. This is the beauty of this sector. Anyone can start here. Minimal capital, established supply chain routes, and government schemes inherently draw the barriers of entry. The textile industry has proven to be a symbol of self reliance, from the Mahatma's *charkha* to the empowerment of rural women.

2. Demand-Side Analysis

Demand in the T&A industry is largely driven by both micro-economic factors (consumer behaviour) and macro-economic drivers (income growth, exports, global trade, etc). The demand for textiles has a direct link to income. Rising income would increase demand for items of this sector.

A micro-economic note would be that income elasticity is higher for branded and fashion apparel than basic cotton garments. India's demographic is an important lever for the demand for T&A goods. Being the youngest nation, by demographics, high fashion sees a huge demand, particularly from the age group of 15 to 35.

Higher apparel spending per capita, thanks to an urbanization push plays a key role as a driver for demand. Other note-able factors include increase in working women participation, and rising nuclear families. This makes demand structurally upward sloping over time. In the age of fast paced media, it is no surprise that trends don't last, which make consume preferences dynamic in nature.

From rapid urbanisation, to celebrity endorsements, and seasonal trends, the sector shows a systematic shift in the demand curve, not merely movement along it.

The textile industry of India functions across clearly defined segments. This segmentation creates varied needs and supports the industry's "something for all" structure rather than "one size fits all". People often switch between cotton and synthetic fabrics, branded and un-organised products, and ready-made and tailor-made garments.

Another broad demand-side dynamic which propels this sector is the export heavy functioning. India has a share of 3.9% of the global trade in textiles and apparel. Major textile and apparel export destinations for India are USA and EU with around 47% share in total textile and apparel exports.

3. Supply-Side Dynamic

The textile industry in India faces relatively high production costs, and we note that this directly affects how much firms are willing to produce. A large share of these costs comes from raw materials, especially cotton and man-made fibres. We acknowledge that cotton prices are highly unstable. They change due to international demand, weather conditions, and government export policies. In our view, when cotton prices rise, production becomes more expensive and profit margins get reduced.

We also note that energy is another major cost component for the industry. Electricity tariffs have increased in many states, which adds financial pressure on firms. Some companies are shifting towards renewable energy, and we acknowledge that this can reduce costs in the long run. However, in our view, it requires significant initial investment, which increases short-term expenses. Apart from this, firms spend heavily on machinery, dyes, and chemicals. We believe these costs are sometimes overlooked, but they form an essential part of total production costs.

Even though India has good cotton availability and a large workforce, we note that much of the industry operates on a small scale. Production is spread across many small units, which reduces efficiency. In our view, this makes it harder to compete with countries where production is more consolidated. We acknowledge that larger and vertically integrated mills in India are better able to control costs because they manage multiple stages of production and benefit from economies of scale.

In the short run, we note that firms cannot easily expand capacity or replace machinery. If demand falls, they still have to pay fixed costs such as rent and salaries, which increases the cost per unit. We also acknowledge that when input prices rise, companies cannot immediately change their production process. However, in our view, over the long run, firms can reduce costs by adopting better technology, increasing output, and improving worker productivity. Government schemes that support modernization also help firms invest in improved equipment. Although this may raise costs in the present, we believe it strengthens long-term competitiveness.

4. Pricing & Profitability Dynamics

The pricing in the textile industry is, in our opinion, broadly driven by variable factors such as commodity cost (i.e, cost of cotton, silk, etc), brand “perception”[◦], and global cues. All these factors weigh on profitability, and by relation, growth of the brand. In the retail realm, retailers majorly employ pricing models which use cost-blus pricing with two ties markups from factory costs to maximum retail price, alongside physiological pricing (eg. INR 999, INR 2499) to induce impulses. Value-based solutions focus on the idea of quality in premium handlooms, while dynamic pricing adjusts for demand and inventory in e-commerce.

Another important factor of pricing, is that of marginal cost, mark-ups, and profit maximization. Marginal costs with swings in the cost of raw materials, prompting a price hike of 100-150% to cover expenses, and achieve defendable net margins in organised retail channels. Profit is maximised via optimized supply chain costing. An example would be that a brand X incurs a cost, say INR 1000 to make a product, and then sells it to wholesale at a price of INR 2000 (a 100% markup), and the whole-seller sells it to the retailer at, say, a price of INR 2500 (a 25% markup), with software helping real-time adjustments.

Competitive pressures put pressure on margins, for the many brands compete for limited market share. E-commerce giants and imports from our eastern neighbours compress margins to 5-7% via deep discounts and low cost, wide bulk productions. Policy support like subsidies aid resilience, yet energy and wage hikes sustain pressure.

◦ The reason we put perception in quotations is because perception is broadly subjective. For example, one author of this report might find a brand enticing, but the very same brand may appear mundane to the other authors. This illustrates the sensitive nature of perception.

5. Firm-Level Microeconomic Analysis: Trent Limited

Trent Ltd. is a flagship retail subsidiary of the Tata Group. It dwells in organised retail and thrives on two in house brands, Westside, and Zudio. Trent is a publicly listed company which builds on value-driven positioning amidst India's growing fashion market. The growth engine of Trent is its rapid expansion model. As of March 2025, Trent operates over 1,100 stores across various formats, including Westside, Zudio, and Star Bazaar[◦]. Trent operates an asset light, brand focused, retail led business model. It focuses on private labels in its two mega subsidiaries (operating in the T&A sphere), Westside (premium focused) and Zudio (value focused). The brand targets young Indians, with D2C channels, and dense urban penetration. The brand has managed to achieve a ~6.5% [organised] retail share, and caters to 12M plus shoppers.

A cursory glance at the [standalone] income statement of Trent (Mar. 2025) reveals material cost to be 57%, and manufacturing cost stands at 4%. This contrast illustrates the commodity heavy nature this business inherits. A glance at the [standalone] balance sheet (Mar. 2025) reveals further interesting points, the most "eye catchy", in our opinion, being, the cost of plant machinery, and inventories, which is reported to be INR 825 CR, and INR 2242 CR respectively. We note these figures to be particularly striking because these figures (although, not thoroughly) illustrate the asset-light nature of the business. The ROCE (Return on Capital Employed) exhibited by Trent is impressive as well, standing at 31%[ɪ]. The inventory days are noteworthy as well, standing at 77 days[ɵ]. The shareholding of Trent, as of Dec 2025, stands at 37.01% with the promoters, 15.62% with foreign institutional investors (FIIs), 21.37% with direct institutional investors (DIIs), 0.13% with the Government, and 25.87%. This broad ownership, in our view, shows wide market confidence.

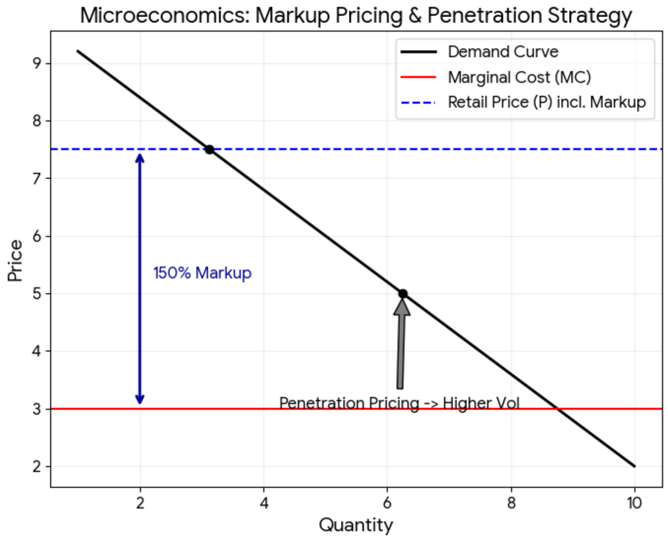
To support the microeconomic analysis of Trent Ltd., we can understand its strategy through three simple theoretical graphs. First, the demand elasticity comparison between Westside and Zudio shows how Westside faces relatively inelastic demand because of stronger brand loyalty, meaning customers are less sensitive to price changes, while Zudio operates in a more elastic segment where small price reductions lead to large increases in quantity demanded, supporting its high-volume, low-price model. Second, in a monopolistic competition framework, Trent maximizes profit where marginal revenue equals marginal cost (MR = MC), and because of brand differentiation and private labels, it can set prices above average total cost to earn economic profit. Third, under markup and penetration pricing, Trent applies significant markups over marginal cost but strategically prices Zudio products below

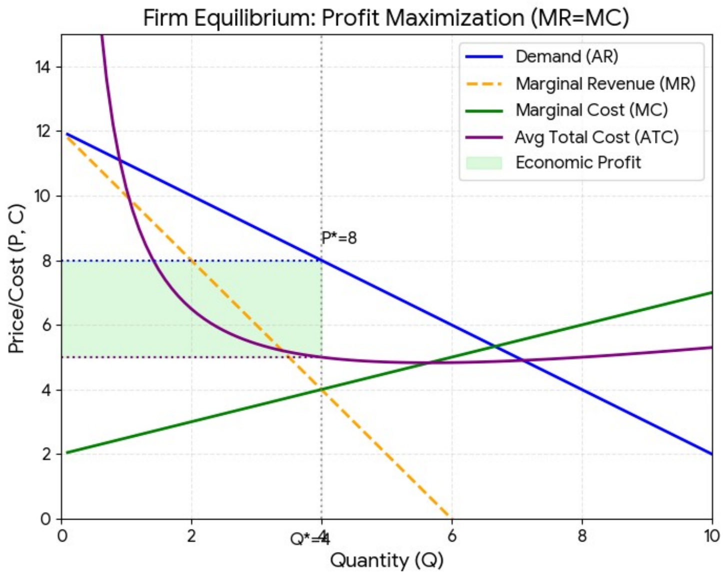
◦ We mention Star Bazaar (a supermarket type business) to illustrate the diversified nature of Trent.

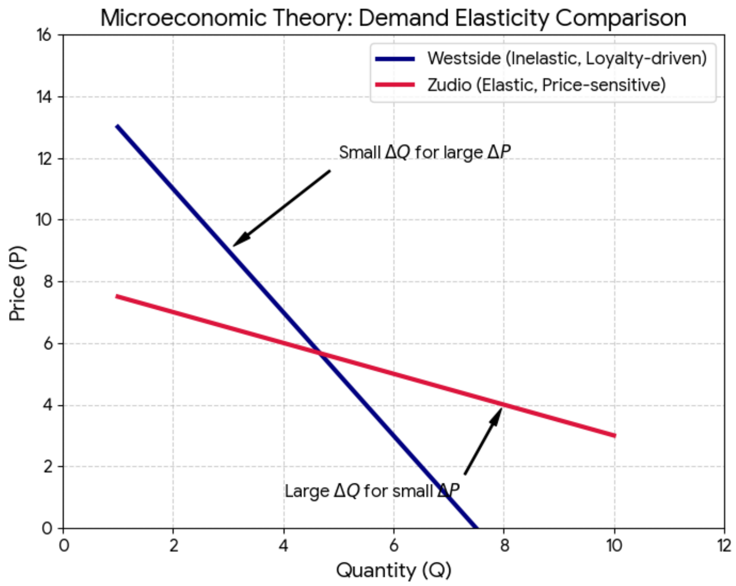
ɪ For every 100 INR invested in the business (by shareholders and lenders combined), Trent generates 31 INR in operating profit. In most cases, higher the ROCE, the better.

ɵ It takes 77 days for a full inventory to go empty. In most cases, lower the inventory days, the better.

key psychological thresholds like ₹2,500, moving along the elastic demand curve to achieve much higher sales volumes. Together, these concepts explain how Trent balances pricing power, cost control, and consumer behavior to sustain growth and profitability.







6. Conclusion

The Indian textile and apparel (T&A) is an important pillar of our economy, contributing substantially, from employment to exports, this sector serves, perhaps, most of our economy. We note its greatest importance to be the sector directly employing 45 million people, and indirectly employing 100 million people. We find that the industry operates on a “something for all” model, driven by fragmentation, niche positions, and limited monopolies.

Demand is income sensitive, i.e, with a rise in income levels, demand for T&A rises, and vice-versa. Demand is also demographically driven, with higher elasticity, for branded fashion compared to basic garments. Urban growth, rising disposable income, along with a very interesting factor, which is increase of women in the workforce, and fast evolving consumer needs, propel demand. We also take into view the export markets, particularly the USA and EU, play a critical role in sustaining overall demand and foreign exchange earnings. On the supply side, production costs remain volatile due to fluctuations in cotton prices, energy tariffs, and raw material imports.

The dominance of small-scale units caps efficiency, however, vertically positioned and large-scale players enjoy cost advantages and better margin control. We note that in the short run, the industry faces rigidities due to fixed costs and limited production flexibility; long-term competitiveness depends on modernization and productivity improvements. In our view, the primary sustainable moat in the textile industry lies not merely in supply chain strength, but in brand identity, differentiation, and consumer loyalty. Analysis of Trent, one of the largest listed T&A brands proved to be a vital approach, as it demonstrated to us the practical nature of this landscape.

The purpose of this report was not simply to explain existing economical theories, or to be a brokerage report for Trent, but was to bridge the gap between theory and practice. In artistic terms, we have tried to paint a picture which intends to blur the lines between the canvas, and the landscape; the canvas, of course, being made of cotton and linen.

End.

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